

24STCV14592 24STCV14592

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Case Number: 24STCV14592 Hearing Date: July 2, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: July

2, 2026 TRIAL DATE: Not set

CASE: Hong Tao Su, et al. v. First General Bank, et al.

CASE NO.: 24STCV14592

DEMURRER

WITH MOTION TO STRIKE

MOVING PARTY: Defendant First General Bank

RESPONDING PARTY: Plaintiffs Hong Tao Su and Xiao Ling Tao

Plaintiffs Hong Tao Su (Su) and Xiao Ling Tao (Tao)

(collectively, Plaintiffs) have been tenants of Unit B at 314 E. Mission Road, San Gabriel, California 91766 since August 1, 2021 (the Property). In February 2024, Franklin Shen aka Feiuye Shen (Shen) and SJS Associates, Inc. (SJS) (collectively, the Trustee) conducted a non-judicial foreclosure of the Property at the request of First General Bank (the Bank). Plaintiffs allege that the Bank and Trustee thwarted their right to bid on the Property.

I. INTRODUCTION

On June 11, 2024, Plaintiffs filed a Complaint against defendants Bank and Shen dba Lender's Foreclosure Services for (1) Failure to Give Notice of Non-Judicial Foreclosure; (2) Violation of Plaintiffs' Rights as Eligible Tenant Buyers; (3) Unlawful Chilling Restraint of Bids; (4) Negligence; (5) Cancellation of Instrument (Trustee's Deed); (6) Violation of Cal. Bus. & Prof. Code § 17200, et seq; and (7) Declaratory Relief.

On January 17, 2025, the Bank filed a motion for judgment on the pleadings (MJOP) on the Complaint.

On March 3, 2025, the court granted the motion as to the first, second, fifth, sixth, and seventh causes of action, and denied as to the third cause of action. With the exception of the first cause of action, Plaintiff was granted leave to amend.

On March 17, 2025, Plaintiffs filed the First Amended Complaint.

On June 5, 2025, the court granted Plaintiffs' motion for leave to file the Second Amended Complaint (SAC). The SAC alleged causes of action against the Bank, Shen, and SJS Associates, Inc. (SJS) (collectively, Defendants) for (1) Violation of Plaintiffs' Rights as Eligible Bidders; (2) Unlawful Chilling Restraint of Bids; (3) Tort In Essence; (4) Negligence; (5) Fraud; (6) Cancellation of Instrument (Trustee's Deed); (7) Equitable Cause of Action to Set Aside Foreclosure Sale; (8) Violation of Cal. Bus. & Prof. Code § 17200, et seq; and (9) Declaratory Relief.

On December 4, 2025, the court sustained the demurrers to the 1st, 4th, 5th, 6th, 7th, 8th, and 9th causes of action and granted leave to amend the 5th, 6th, and 7th causes of action only. The court overruled the demurrers to the 2nd and 3rd causes of action.

On December 15, 2025, Plaintiffs filed the Third Amended Complaint (TAC) against Defendants alleging causes of action for (1) Unlawful Chilling Restraint of Bids; (2) Tort In Essence; (3) Negligence; (4) Fraud; (5) Cancellation of Instrument (Trustee's Deed); and (6) Equitable Cause of Action to Set Aside Foreclosure Sale.

On January 16, 2026, the Bank filed this Demurrer and Motion

to Strike portions of the TAC.

On March 24, 2026, Shen filed a joinder to the Bank's demurrer.

On May 6, 2025, Plaintiffs filed oppositions to the Bank's demurrer and motion to strike, as well as Shen's joinder.

On May 12, 2026, the Bank filed replies. On the same day, Shen filed a separate reply.

The court begins by addressing the Bank's demurrer.

II. DISCUSSION RE DEMURRER

A. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) "Because a demurrer challenges defects on the face of the complaint, it can only refer to matters outside the pleading that are subject to judicial notice." (Arce ex rel. Arce v. Kaiser Found. Health Plan, Inc. (2010) 181 Cal.App.4th 471, 556.)

B. Judicial Notice

The Bank requests judicial notice of five documents filed in this case and legislative history. The court previously granted this request in connection to the Bank's demurrer to the SAC.

Shen requests judicial notice of two Fictitious Business Name Statements. The unopposed request is GRANTED. (Evid. Code, § 452(c), (g), (h).)

C. Analysis

The Bank demurs to the third, fourth, fifth, and sixth causes

of action. The court addresses each demurrer in turn.

1. Negligence (3rd Cause of Action)

Previously, the court sustained the Bank's demurrer to the negligence cause of action in the SAC because Plaintiffs did not clearly state the basis of their negligence claim against the Bank. (See Minute Order, 12/04/25.) Plaintiffs now advance three theories in support of the negligence claim: (1) the Bank negligently chose a substitute trustee who has a history of flouting the rules that govern his business (TAC, ¶¶ (a), (b), and (h)); (2) the Bank negligently failed to identify the true tenants in Unit B (for the purpose of giving them notice), despite its knowledge that Plaintiffs lived there and had statutory rights to buy the Property (TAC, ¶¶ 97 (c) – (e)); and (3) the Bank (at least negligently) entered into a conspiratorial agreement with Shen that the Bank owned the Property before the time for bidding had closed, and actively aided and abetted Shen's trespass in Plaintiffs' home and invasion of Plaintiffs' privacy (as purported "agent" for the Bank as "owner"), for the purpose of creating a false record that Unit B was supposedly "vacant" (TAC, ¶¶ 97(f), (g), and (i)).

The Bank argues the negligence claim fails because (i) Plaintiffs improperly rely on purported violations of Civil Code section 2924m and (ii) the TAC does not allege an actionable duty owed by the Bank to Plaintiffs.^[1] The court finds the first argument is meritorious. First, the court sustained the Bank's demurrer to the first cause of action in the SAC which was based on Civil Code section 2924m. Plaintiffs' "new" allegations ultimately relate only to whether they were given notice of the auction under Civil Code section 2924m. As the court discussed in its ruling, Section 2924m does not provide for a private cause of action. (Minute Order, 12/04/25.) Having so concluded, the court does not address the Bank's third grounds for demurrer of the negligence claim.

The demurrer to the third cause of action is SUSTAINED. Leave to amend is DENIED.

2. Fraud (4th Cause of Action)

Previously,

the court sustained the Bank's demurrer to the fraud cause of action in the SAC because the SAC focused on the Trustee's conduct, did not identify any misrepresentations by the Bank made directly to Plaintiffs, and did not allege specific facts to establish that the Bank engaged in any conduct amounting to fraud.

After

reviewing the fraud cause of action in the TAC, the court finds the TACs still does not state a fraud claim against the Bank.

To establish a claim for

intentional misrepresentation, the plaintiff must allege seven essential elements: (1) the defendant represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff reasonably relied on the representation; (6) the plaintiff was harmed; and (7) the plaintiff's reliance on the defendant's representation was a substantial factor in causing that harm to the plaintiff. (Manderville v. PCG & S Group, Inc. (2007) 146 Cal.App.4th 1486, 1498; CACI No. 1900.)

Here, Plaintiffs

do not add any allegations of misrepresentations that the Bank made to the Plaintiffs. This alone is fatal to Plaintiffs' fraud claim.

In

opposition, Plaintiffs cite South Bay Building Enterprises, Inc. v. Riviera Lend-Lease, Inc. (1999) 72 Cal.App.4th 1111 (South Bay) for the proposition that fraudulent actions taken by the beneficiary of a deed of trust can give rise to liability in tort. That case is inapposite. The Court of Appeal in South Bay held that the trustor or junior lienor as defined under Civil Code section 2924h(g) have the right to recover damages from the trustee and the beneficiary of the foreclosing lien if there have been material irregularities in the conduct of the foreclosure. As alleged, Plaintiffs are neither trustors nor junior lienors. The fraud claim against the Bank is deficient.

The

demurrer to the fourth cause of action is SUSTAINED. Leave to amend is DENIED.

3. Cancellation

of Instrument (Trustee's Deed) (5th Cause of Action)

"A written

instrument, in respect to which there is a reasonable apprehension that if left outstanding may cause serious injury to a person against whom it is void or voidable, may, upon his application, be so adjudged, and ordered to be delivered up or canceled." (§ 3412.) "[A]bsent an interest in the property, a party has no standing to ask the court to quiet title in the property or to obtain damages for the cloud on title. An action to cancel a trustee's deed or other instrument purportedly transferring title is no different. 'One without any title or interest in the property cannot maintain such an action.'" (Chao Fu, Inc. v. Chen (2012) 206 Cal.App.4th 48, 59 citing Osborne v. Abels (1939) 30 Cal.App.2d 729, 731.)

Previously,

the court sustained the Bank's demurrer to the cancellation of instrument cause of action against the Bank because it was predicated on a fraud claim which was not sufficiently pled. The court also rejected Plaintiffs' argument that Civil Code section 2934a could provide an additional basis for cancellation of the trustee's deed because Section 2934a applies to sales conducted by a substituted trustee, which is not a fact alleged in this case. Section 2934a is inapposite for the further reason that it applies only when a trustee has been substituted in after a Notice of Trustee's Sale has been recorded. The court granted leave to amend based on Plaintiffs' representation that a trustee preceded Shen and SJS, thus triggering Section 2934a. The court has reviewed the fifth cause of action in the TAC. Plaintiffs do not add any such allegation. The fifth cause of action fails.

The demurrer

to the fifth cause of action is SUSTAINED. Leave to amend is DENIED.

4. Equitable

Cause of Action to Set Aside Foreclosure Sale (6th Cause of Action)

This cause

of action is based on Defendants' fraudulent conduct. (SAC, ¶ 108.) Because the court has found the fraud cause of action is insufficiently pleaded against the Bank, the court also finds the sixth cause of action is insufficiently pled. Accordingly, the demurrer to the sixth cause of action is SUSTAINED. Leave to amend is DENIED.

D. Conclusion

The Bank's demurrer is Sustained. Leave to amend is Denied.

III. DISCUSSION RE SHEN'S JOINDER TO BANK'S DEMURRER

Plaintiffs oppose Shen's joinder on the ground it is not authorized by the Code of Civil Procedure. In support, Plaintiffs cite *Haah v. Kim* (2009) 175 Cal.App.4th 45. *Haah* does not aid Plaintiffs. In *Haah*, the Court of Appeal merely quoted without approval or disapproval the trial court's sustaining of a joinder to a demurrer. (*Haah*, at pp. 51-52.) Absent authority that a party cannot "join" a demurrer, the court must consider whether the Bank's arguments apply equally to Shen. On this point, the court rules in favor of Plaintiffs. Perhaps the Bank's arguments apply to Shen. But the Bank and Shen are not similarly situated. Shen was the Trustee and conducted the sale, not the Bank. Plaintiffs allege conduct by Shen separate and distinct from the Bank. The court will not wade through the allegations in the TAC to piece together Shen's basis for demurrer. Accordingly, Shen's joinder is OVERRULED.

IV. DISCUSSION RE MOTION TO STRIKE & JOINDER TO MOTION TO STRIKE

The Bank seeks an order striking several allegations from the TAC on the ground Plaintiffs attempt to circumvent the court's orders granting judgment on the pleadings and sustaining the Bank's demurrer to Plaintiffs' previous causes of action for failure to give notice of trustee's non-judicial foreclosure sale and violation of Civil Code section 2924m. (See Minute Orders, 3/3/25 and 12/04/25.) The court agrees. Plaintiffs cannot simply assert the same

defective allegations in support of other causes of action when the court has already ruled that a violation of Civil Code section 2924f is not grounds to invalidate a foreclosure sale nor does a violation of Civil Code section 2924m provide for a private cause of action.

Accordingly, the motion to strike and the joinder are GRANTED. Leave to amend is DENIED.

V. DISPOSITIONS

1. The Bank's Demurrer to the TAC is Sustained. Leave to Amend is Denied.

2. Shen's Joinder to the Bank's Demurrer is Overruled.

3. The Bank's Motion to Strike is Granted.

4. Shen's Joinder to the Bank's Motion to Strike is Granted.

Plaintiffs

are ordered to serve and file the Fourth Amended Complaint for the sole purpose of removing the defective causes of action and allegations. The amended pleading is to be served and file within 15 days.

Defendant to give notice, unless waived.

Dated: July 2, 2026

Brock T. Hammond

Judge of the Superior Court

[1] The Bank also argues that the negligence claim is barred by the economic loss rule. "[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 923 quoting Rest., § 3, p. 12.) That rule does

not apply. This case does not concern the performance or negotiation of a contract. The Bank also discusses, *ad nauseum*, *Biakanja v. Irving* (1958) 40 Cal.2d 647 which sets forth the factors to consider when determining whether to impose a duty on a defendant for negligent performance of contract even though plaintiff and defendant are not in privity of contract. *Biakanja* also does not apply. The court sustains the demurrer to the negligence claim on other grounds.